

Mathematics Bootcamp

General Equilibrium and the Social Planner

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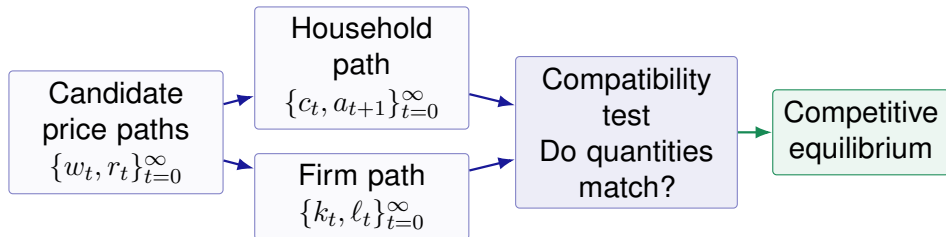
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Today

- The Basic Dynamic Economy
- Optimization at Given Prices
 - The Household and the Firm
- Competitive Equilibrium
 - Definition and Characterization
- The Social Planner
 - Welfare and Decentralization

General Equilibrium Makes Separate Choices Compatible

Day 4 studied one decision maker facing a feasible set. General equilibrium asks whether several optimal decisions can hold at the same prices.



The Definition Is a Test, Not an Adjustment Story

It says which price-allocation paths qualify as equilibria. It does not say how an economy discovers those prices.

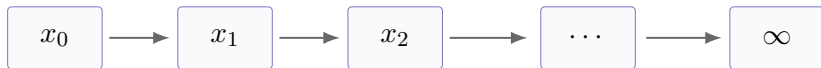
Day 4 Chose a Point; Day 5 Chooses an Infinite Path

Day 4 studied a point

$$x \in \mathbb{R}^n.$$

Today the choice is an infinite sequence:

$$z = (x_0, x_1, x_2, \dots).$$



An infinite-horizon problem has one local condition at every date and one boundary condition at infinity.

Every Date Contributes a Constraint and a Multiplier

Consider an infinite-path problem and its formal Lagrangean:

$$\max_{z=(z_t)_{t=0}^{\infty}} F(z) \quad \text{s.t.} \quad g_t(z) = 0, t = 0, 1, \dots, \quad L(z; \lambda) = F(z) + \sum_{t=0}^{\infty} \lambda_t g_t(z).$$

$$g_0(z) = 0$$

$$\lambda_0$$

$$g_1(z) = 0$$

$$\lambda_1$$

$$\dots$$

$$\dots$$

$$g_t(z) = 0$$

$$\lambda_t$$

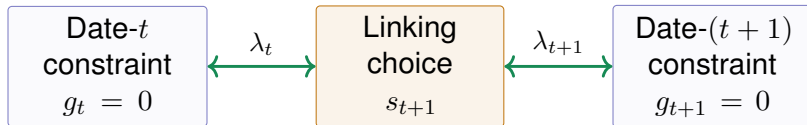
Regularity and Interpretation

Assume an infinite-horizon multiplier theorem supplies λ . Independent gradients make the multiplier sequence unique. For $g_t(z) + b_t = 0$ and differentiable V , $\lambda_t = \partial V(b) / \partial b_t$.

A Linking Choice Creates a Recurrence

A variable carried from t to $t + 1$ appears in two neighboring constraints:

$$g_t(\dots, s_{t+1}) = 0, \quad g_{t+1}(s_{t+1}, \dots) = 0.$$



Differentiating with respect to s_{t+1} links adjacent multipliers. Eliminating them typically produces

$$\Phi(s_t, s_{t+1}, s_{t+2}) = 0.$$

This is a second-order difference equation.

An Infinite Path Needs a Boundary at Infinity

A recurrence alone does not determine a path:

$$\Phi(s_t, s_{t+1}, s_{t+2}) = 0, \quad t = 0, 1, \dots$$

It needs an initial condition and a boundary condition at infinity:

$$s_0 \text{ given,} \quad \lim_{t \rightarrow \infty} \lambda_t s_{t+1} = 0.$$

Infinite-Horizon Logic

- Existence requires an argument about feasible sequences and tails.
- Strict concavity gives at most one solution.
- Regularity gives first-order conditions at every date.
- Concavity and the boundary condition verify global optimality.

Time for Economics

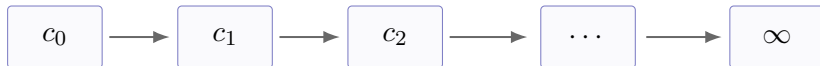
- The vector z becomes a path of consumption, assets, and capital.
- Each g_t becomes a dated budget or resource constraint.
- The linking choice s_{t+1} becomes saving or next-period capital.
- When the perturbed value is differentiable, λ_t becomes the shadow value of resources at date t .
- The recurrence becomes an Euler equation.

The Same Mathematical Structure

Dynamic economics applies ordinary constrained optimization to choices that are linked across dates.

Consumption at Different Dates Means Different Commodities

A commodity is identified not only by its physical features, but also by its date and state. In this deterministic model, date is the key label:



Different Date, Different Good

Consumption at t and $t + 1$ are different goods. Saving exchanges one for the other.

The Interest Rate Is a Relative Price

One unit at date $t + 1$ costs $1/(1 + r_{t+1})$ units at date t . Trades occur date by date.

$$\text{relative price of } c_{t+1} = \frac{1}{1 + r_{t+1}}.$$

The Model Separates Primitives from Equilibrium Objects

Primitives

- Dates $t = 0, 1, \dots$
- Preferences: β and u
- Technology: f and A_t
- Initial capital: $k_0 = a_0$

Equilibrium Objects

- Consumption and assets: c_t, a_{t+1}
- Capital and labor: k_t, ℓ_t
- Output: y_t
- Prices: w_t, r_t

A solution takes the primitives as given and determines all equilibrium objects jointly.

Infinite Horizon Adds a Boundary at Infinity

The model uses dates $t = 0, 1, \dots$ and assumes:

- a deterministic closed economy with no government;
- one representative price-taking household and firm;
- u is strictly increasing, strictly concave, and twice differentiable; f is increasing, concave, and constant returns to scale;
- $k_0 = a_0 > 0$ and $\delta = 0$.

Transversality Condition

$$\lim_{t \rightarrow \infty} \beta^t u'(c_t) a_{t+1} = 0.$$

The Euler equation is local; this condition controls the tail.

The Household Ranks Entire Consumption Paths

Lifetime Utility

For $c = (c_0, c_1, c_2, \dots)$,

$$U(c) = \sum_{t=0}^{\infty} \beta^t u(c_t), \quad 0 < \beta < 1.$$

The discount factor β gives the relative weight on later utility.

Monotonicity

$$u'(c_t) > 0$$

More consumption is preferred.

Strict concavity

$$u''(c_t) < 0$$

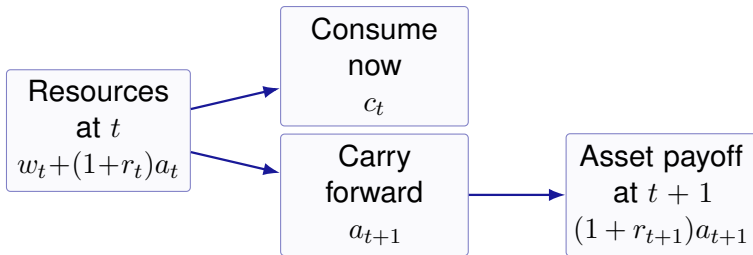
Marginal utility falls with consumption.

The Household Transfers Resources Across Dates

At date t , the household owns assets a_t , supplies one unit of labor, and receives wage and capital income.

Period Budget Constraint

$$c_t + a_{t+1} = w_t + (1 + r_t)a_t.$$



The Household Chooses an Infinite Path at Given Prices

Given the price paths $(w_t, r_t)_{t=0}^{\infty}$ and initial assets a_0 , the household solves

$$\max_{(c_t, a_{t+1})_{t=0}^{\infty}} \sum_{t=0}^{\infty} \beta^t u(c_t)$$

subject to

$$c_t + a_{t+1} = w_t + (1 + r_t)a_t, \quad c_t \geq 0, \quad a_{t+1} \geq 0, \quad t = 0, 1, \dots,$$

a_0 given.

Admissibility and Price Taking

Nonnegative assets rule out Ponzi finance. The household chooses quantities while treating every wage and interest rate as given.

One Shadow Value Is Needed for Every Date

At an interior path, write the formal Lagrangean

$$L = \sum_{t=0}^{\infty} \beta^t u(c_t) + \sum_{t=0}^{\infty} \lambda_t [w_t + (1 + r_t)a_t - c_t - a_{t+1}].$$

The first-order conditions imply

$$\beta^t u'(c_t) = \lambda_t, \quad t = 0, 1, \dots,$$

$$\lambda_t = (1 + r_{t+1})\lambda_{t+1}, \quad t = 0, 1, \dots$$

Interpretation

λ_t is the increase in lifetime utility from one additional unit of the consumption good available at date t .

The Euler Equation Balances Sacrifice and Return

Combine the two first-order conditions:

$$u'(c_t) = \beta(1 + r_{t+1})u'(c_{t+1}).$$

Cost of Saving One More Unit

One unit is forgone today, reducing lifetime utility by

$$\beta^t u'(c_t).$$

Benefit One Date Later

Tomorrow it yields $1 + r_{t+1}$ units. Lifetime utility rises by

$$\beta^{t+1}(1 + r_{t+1})u'(c_{t+1}).$$

At an interior optimum, these two marginal effects are equal.

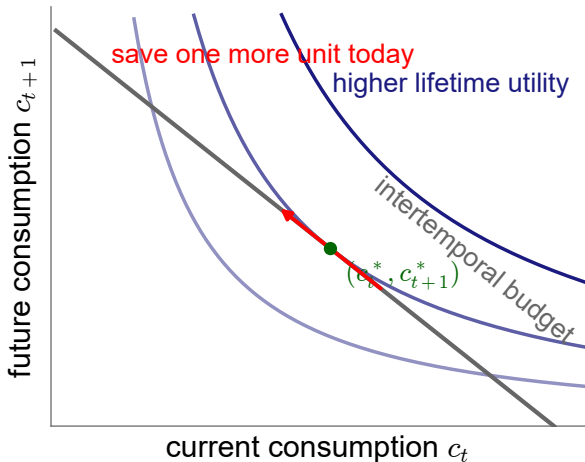
The Euler Equation Is Ordinary Tangency Across Dates

The household treats consumption at t and $t + 1$ as two different goods. At an interior optimum,

$$\frac{\beta u'(c_{t+1})}{u'(c_t)} = \frac{1}{1 + r_{t+1}}.$$

Same Mathematics as Day 4

The MRS equals the relative price. The only new feature is that the goods carry date labels.



The Firm Transforms Capital and Labor into Output

In every date t , the firm rents capital k_t , hires labor ℓ_t , and produces the single final good:

$$y_t = f(k_t, A_t \ell_t) = k_t^\alpha (A_t \ell_t)^{1-\alpha}, \quad 0 < \alpha < 1.$$

Technology

A_t measures productivity. Each input raises output, but its marginal effect falls with use.

Constant Returns

Scaling both inputs by one factor scales output by that factor. Price taking then implies zero profits.

Throughout, $\delta = 0$: capital is fully preserved between dates.

The Firm Solves a Static Problem at Every Date

Given the wage w_t and rental rate r_t , the firm solves

$$\max_{k_t, \ell_t \geq 0} \{f(k_t, A_t \ell_t) - w_t \ell_t - r_t k_t\}.$$

At a positive-input optimum,

$$w_t = \frac{\partial f(k_t, A_t \ell_t)}{\partial \ell_t} = A_t f_2(k_t, A_t \ell_t), \quad r_t = \frac{\partial f(k_t, A_t \ell_t)}{\partial k_t} = f_1(k_t, A_t \ell_t).$$

Why the Firm Problem Is Static

The firm rents inputs, produces, and sells output within date t . The household owns the capital and chooses how much to carry into the next date.

The Same Rental Rate Links Firm and Household

For Cobb–Douglas production,

$$w_t = (1 - \alpha)A_t \left(\frac{k_t}{A_t \ell_t} \right)^\alpha, \quad r_t = \alpha \left(\frac{k_t}{A_t \ell_t} \right)^{\alpha-1}.$$

The firm pays r_t for one unit of capital. Since capital is returned intact, the household receives the gross payoff $1 + r_t$.

Constant returns and the first-order conditions imply

$$f(k_t, A_t \ell_t) = w_t \ell_t + r_t k_t,$$

so competitive profits are zero.

Feasibility Is a Physical Restriction

Output can be consumed or invested:

$$c_t + i_t = y_t.$$

With no depreciation, investment is the change in the capital stock:

$$i_t = k_{t+1} - k_t.$$

Combining these equations with production gives the aggregate resource constraint:

$$c_t + k_{t+1} = f(k_t, A_t \ell_t) + k_t.$$

Behavior Versus Feasibility

Household and firm problems describe optimal behavior at given prices. The resource constraint describes what the economy can physically deliver.

Equilibrium Combines Behavior and Consistency

Behavior

- The household maximizes lifetime utility.
- The firm maximizes date- t profit.
- Both take prices as given.

Consistency

- Asset supply equals capital demand.
- Labor supply equals labor demand.
- Goods demanded equal goods available.

individual optimization + market clearing = competitive equilibrium.

Definition and Characterization Answer Different Questions

DEFINITION

- Names the objects that constitute an equilibrium.
- States optimization and market clearing.
- Tests whether a proposed price-allocation path qualifies.
- Does not require derivatives or first-order conditions.

CHARACTERIZATION

- Derives equations every equilibrium must satisfy.
- Uses first-order conditions or KKT under their hypotheses.
- Reduces the objects that must be solved for.
- Needs extra conditions for sufficiency, existence, or uniqueness.

DEFINITION: Competitive Equilibrium

Competitive Equilibrium

Given a_0 , a competitive equilibrium is a collection

$$((c_t, a_{t+1}), (k_t, \ell_t), (w_t, r_t))_{t=0}^{\infty}$$

such that:

1. given $(w_t, r_t)_{t=0}^{\infty}$, $(c_t, a_{t+1})_{t=0}^{\infty}$ solves the household problem;
2. given $(w_t, r_t)_{t=0}^{\infty}$, $(k_t, \ell_t)_{t=0}^{\infty}$ solves the firm's problem;
3. all markets clear at every date $t = 0, 1, \dots$

The definition refers to solutions of optimization problems, not merely to their first-order conditions.

Market Clearing Links Individual and Aggregate Quantities

Asset Market

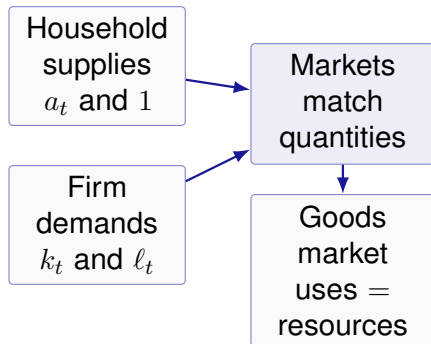
$$a_t = k_t.$$

Labor Market

$$\ell_t = 1.$$

Goods Market

$$c_t + k_{t+1} = f(k_t, A_t \ell_t) + k_t.$$



Equilibrium Does Not Mean a Rest Point

Equilibrium Path

All agents optimize and all markets clear at every date. Quantities and prices may rise, fall, or fluctuate over time.

Steady State

A special equilibrium path in which the relevant quantities and prices do not vary over time.

steady state $\implies$ equilibrium,

equilibrium $\nRightarrow$ steady state.

Walras' Law Makes One Clearing Condition Redundant

Suppose the household and firm optimize and the asset and labor markets clear.

(1) Substitute $a_t = k_t$ and $a_{t+1} = k_{t+1}$ into the household budget:

$$c_t + k_{t+1} = w_t + (1 + r_t)k_t.$$

(2) Subtract the capital carried into date t :

$$c_t + k_{t+1} - k_t = w_t + r_t k_t.$$

(3) Since $\ell_t = 1$ and constant returns imply zero profit,

$$w_t \ell_t + r_t k_t = f(k_t, A_t \ell_t).$$

(4) Therefore the goods market clears:

$$c_t + k_{t+1} = f(k_t, A_t \ell_t) + k_t.$$

CHARACTERIZATION: Prices Become Functions of Capital

To characterize equilibrium, set $A_t = 1$ and use $\ell_t = 1$.

General Technology

$$w_t = f_\ell(k_t, 1),$$

$$r_t = f_k(k_t, 1).$$

Cobb–Douglas Technology

$$w_t = (1 - \alpha)k_t^\alpha,$$

$$r_t = \alpha k_t^{\alpha-1}.$$

Firm optimality and market clearing remove prices as independent unknowns.

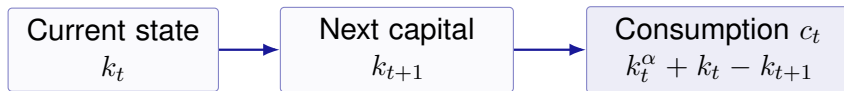
CHARACTERIZATION: Feasibility Eliminates Consumption

With $\ell_t = 1$ and $A_t = 1$, the resource constraint is

$$c_t + k_{t+1} = k_t^\alpha + k_t.$$

Hence,

$$c_t = k_t^\alpha + k_t - k_{t+1}.$$



Once the capital path is known, the allocation and prices can be recovered.

CHARACTERIZATION: A Difference Equation for Capital

For $t = 0, 1, \dots$, substitute equilibrium prices and consumption into the household Euler equation:

$$\begin{aligned} u'(k_t^\alpha + k_t - k_{t+1}) \\ = \beta [1 + \alpha k_{t+1}^{\alpha-1}] u'(k_{t+1}^\alpha + k_{t+1} - k_{t+2}). \end{aligned}$$

This is a second-order difference equation in (k_t, k_{t+1}, k_{t+2}) . Combine it with

$$k_0 = a_0, \quad c_t \geq 0, \quad k_t \geq 0, \quad \lim_{t \rightarrow \infty} \beta^t u'(c_t) k_{t+1} = 0.$$

A Characterization Is Not an Existence Theorem

The capital equation is useful because it removes prices and consumption from the search. But the logical claims remain separate:

- Every interior competitive equilibrium satisfies the equation.
- The converse also requires all feasibility and boundary conditions, together with conditions making the first-order conditions sufficient.
- Writing the equation does not prove that a solution exists.
- It also does not prove that the solution is unique.

The Next Step

The social planner problem supplies a simpler route to existence, allocation uniqueness, and the welfare interpretation.

DEFINITION: The Social Planner Problem

With $A_t = 1$, the planner solves

$$\max_{(c_t, k_{t+1}, \ell_t)_{t=0}^{\infty}} \sum_{t=0}^{\infty} \beta^t u(c_t)$$

subject to

$$c_t + k_{t+1} = k_t^{\alpha} \ell_t^{1-\alpha} + k_t, \quad t = 0, 1, \dots,$$

$$c_t \geq 0, \quad k_{t+1} \geq 0, \quad 0 \leq \ell_t \leq 1, \quad k_0 > 0 \text{ given.}$$

Since leisure does not enter utility and production increases in labor, $\ell_t = 1$. At an interior optimum,

$$\lim_{t \rightarrow \infty} \beta^t u'(c_t) k_{t+1} = 0.$$

CHARACTERIZATION: The Planner Euler Equation

For the reduced problem, define

$$L = \sum_{t=0}^{\infty} \beta^t u(c_t) + \sum_{t=0}^{\infty} \lambda_t [k_t^\alpha + k_t - c_t - k_{t+1}].$$

The first-order conditions give

$$\lambda_t = \beta^t u'(c_t), \quad t = 0, 1, \dots,$$

$$\lambda_t = \lambda_{t+1} [\alpha k_{t+1}^{\alpha-1} + 1], \quad t = 0, 1, \dots$$

Therefore,

$$\boxed{u'(c_t) = \beta [\alpha k_{t+1}^{\alpha-1} + 1] u'(c_{t+1}).}$$

The Market and Planner Euler Equations Coincide

Competitive Equilibrium

Household Euler equation:

$$u'(c_t) = \beta(1 + r_{t+1})u'(c_{t+1}).$$

Firm return and clearing:

$$1 + r_{t+1} = 1 + \alpha k_{t+1}^{\alpha-1}.$$

=

Social Planner

Planner return:

$$1 + \alpha k_{t+1}^{\alpha-1}.$$

Planner Euler equation:

$$u'(c_t) = \beta [1 + \alpha k_{t+1}^{\alpha-1}] u'(c_{t+1}).$$

The equality is economically powerful only because concavity and transversality make these equations sufficient.

The Welfare Theorems Connect Two Definitions

First Welfare Theorem

Every equilibrium allocation is a planner optimum:

equilibrium $\implies$ planner optimum.

Markets attain an efficient allocation.

Second Welfare Theorem

In this model, every planner optimum can be supported by prices:

planner optimum $\implies$ equilibrium.

Marginal products construct the prices.

Under the maintained infinite-horizon assumptions, verification uses feasibility, identical Euler equations, transversality, and concavity.

Supporting Prices Decentralize the Planner Allocation

Start from a planner solution $(c_t^*, k_{t+1}^*)_{t=0}^\infty$ and define

$$w_t^* = (1 - \alpha)(k_t^*)^\alpha, \quad r_t^* = \alpha(k_t^*)^{\alpha-1}.$$

- (1) Set $a_t^* = k_t^*$ and $\ell_t^* = 1$, so the asset and labor markets clear.
- (2) The supporting prices satisfy the firm's first-order conditions; concavity makes them sufficient.
- (3) The planner Euler equation becomes the household Euler equation; concavity and transversality make it sufficient.
- (4) Planner feasibility is exactly goods-market clearing.

Infinite Horizon Needs a Separate Existence Argument

For every $t = 0, 1, \dots$, feasibility can be written as

$$c_t + k_{t+1} \leq k_t^\alpha + k_t.$$

This is a problem over sequences, so finite-dimensional compactness is not enough. Under bounded feasibility, continuity, discounting, and the maintained tail conditions, a limit of truncated planner problems yields a solution.

Two Separate Conclusions

planner existence + supporting prices $\implies$ equilibrium existence,
strict concavity + First Welfare Theorem $\implies$ allocation uniqueness.

The Representative Household Hides Distribution

In this model, one household owns the capital and constant-returns firms earn zero profits. In an economy with many households:

- endowments and firm-ownership shares determine individual wealth;
- under convexity, positive planner weights select different Pareto-efficient allocations;
- the Second Welfare Theorem generally requires transfers that make the selected bundles affordable;
- externalities, market power, taxes, or missing markets can separate equilibrium from the planner allocation.

What the Welfare Theorems Do Not Say

They do not say that every market economy is efficient. They identify the assumptions under which decentralization and planning select the same allocation.

Definition Comes First; Characterization Makes It Usable

1. List the primitives and every endogenous sequence.
2. Write household and firm optimization at given prices.
3. Define equilibrium by adding market clearing at every date.
4. Derive the characterization and keep all boundary conditions.
5. Use the planner problem and welfare theorems to recover allocations and supporting prices.

The Full Logic

Definition identifies the object.

Characterization reduces the search.

Theorems justify the connection.

General equilibrium is optimization made mutually consistent.